FALLEN EMPIRES

Cousins Maine Lobster: the deal sheet

Everything below is sourced. "Reported" means a single outlet or the company said it. Not investment advice.

The deal

- **Founders:** Jim Tselikis and Sabin Lomac, cousins from Portland, Maine. Truck opened in Los Angeles in April 2012 (Entrepreneur, 2015).
- **Shark Tank:** Season 4, Episode 6, aired October 2012.
- **The ask:** $55,000 for 5%, a valuation of $1,100,000 ($55,000 ÷ 0.05).
- **The deal:** $55,000 from Barbara Corcoran for 15%, a valuation of about $367,000 ($55,000 ÷ 0.15).
- **Offer they turned down:** Robert Herjavec made an offer; the founders said his answer on how he would help turned them off (Entrepreneur).

After the show

- 2014: four trucks in Southern California and 10 franchisees signed (Entrepreneur, via Wikipedia).
- 2015: first restaurant, West Hollywood; 15 trucks in 11 cities (LA Times).
- 2017: 26 trucks in 13 states (Business Insider).
- 2016: $20 million in sales, reported (Food Republic). 2021: sales up 37%, reported.
- Aug 2023: 50+ trucks and restaurants in 45 cities, over $50 million annual sales, reported (Food Republic).
- Feb 2024: 60 locations (FastCasual).
- Jul 2025: 85+ locations in 30+ states; **$1 billion systemwide sales since 2012**; average 2024 truck sales about $1.3 million per unit; 30+ new units projected for 2026 (company announcement).

3 things the cousins did

1. Proved demand before pitching: lines of 60 to 70 people on night one.
2. Chose their partner: studied 50 episodes, insisted on Barbara Corcoran.
3. Walked away from an offer that did not fit.

2 mistakes to avoid

1. Treating the TV deal as the finish line: the franchise growth took years.
2. Confusing sales with profit: systemwide sales count every location's revenue, including franchisees.

Glossary

- **Valuation:** what the whole company is worth. Amount ÷ equity share.
- **Equity:** a slice of ownership.
- **Franchise:** others pay to run a business under your brand.
- **Revenue vs profit:** revenue is every dollar in; profit is what is left after costs.

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